SEA TRADE ROUTE RACE
AMID IRAN UNCERTAINTY

How the Strait of Hormuz Crisis is Reshaping Global Maritime Trade

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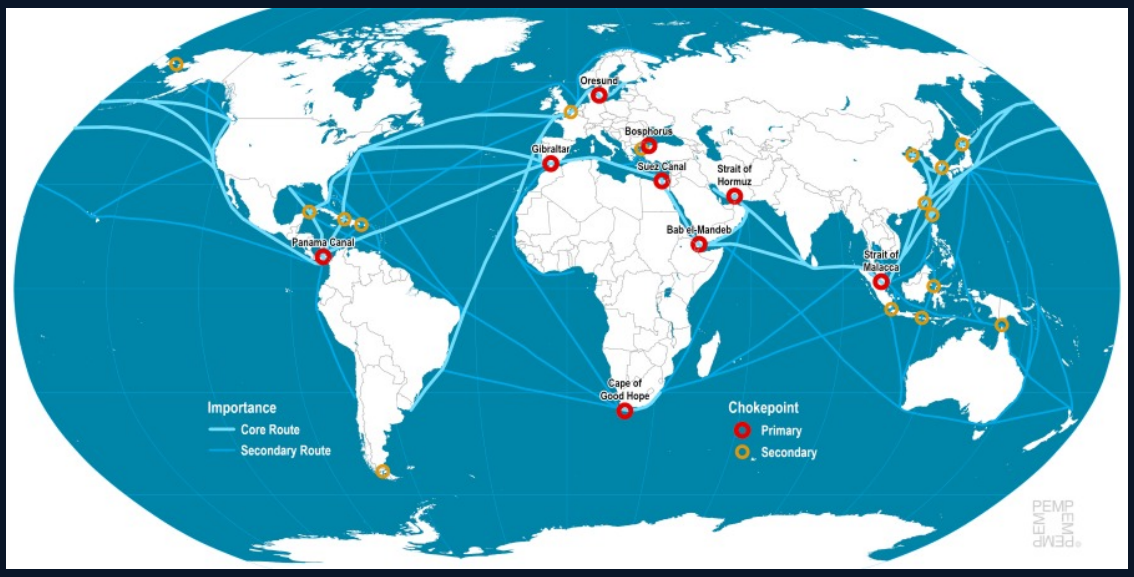
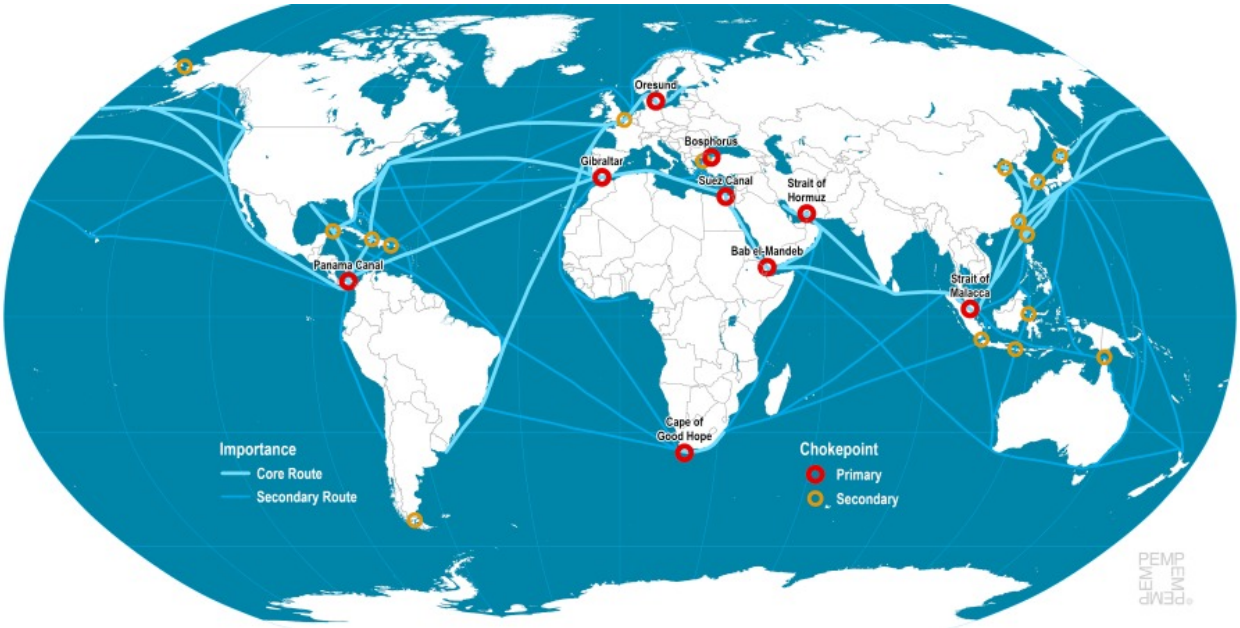
MARCH 2026



EXECUTIVE SUMMARY



Global maritime trade routes under simultaneous stress, March 2026.

The world's maritime chokepoints face unprecedented simultaneous stress. On February 28, 2026, the United States and Israel launched **Operation Epic Fury** — a massive combined military campaign against Iran that has effectively **closed the Strait of Hormuz** to commercial traffic. On the same day, Houthi militants in Yemen resumed attacks on shipping in the Red Sea, further compounding the crisis.

The Strait of Hormuz, through which **20 million barrels per day** of oil (roughly 20% of global supply) and 20% of the world's LNG normally transit, has seen an **86% plunge in tanker traffic**. Approximately **150 vessels** remain stranded, five tankers have sustained damage, and at least two seafarers have been killed. Brent crude has surged to **$84 per barrel**, with analysts warning of $120–$150 oil in a prolonged conflict.

All twelve P&I Clubs have cancelled war-risk coverage for the Persian Gulf, sending insurance premiums up by **400%**. QatarEnergy has declared force majeure, triggering a **70% spike** in European natural gas prices.

With both the Hormuz and Red Sea/Suez corridors now functionally closed, the **Cape of Good Hope** has become the de facto backbone of global east–west maritime trade. This report examines each critical chokepoint, assesses the economic fallout, and evaluates whether the Cape route — and South Africa — can rise to meet the moment.

KEY FIGURES: 20M bpd oil through Hormuz (20% global) | 86% traffic plunge | Brent at $84/bbl | 150 ships stranded | Insurance premiums +400% | European gas +70%

SECTION 1

Strait of Hormuz — The Crisis

The Strait of Hormuz — the world's most critical oil chokepoint.

Operation Epic Fury

On February 28, 2026, the United States and Israel launched Operation Epic Fury, a coordinated military campaign against Iran's nuclear and military infrastructure. The operation involved **more than 900 U.S. strike sorties** and **over 1,200 IDF munitions** targeting nuclear facilities, missile sites, air defences, and command centres across Iran.[1] Iranian Supreme Leader **Ali Khamenei was confirmed killed** in the strikes.[2]

The IRGC responded with immediate threats to close the strait. IRGC Navy Commander Rear Admiral **Ali Reza Jabbari** declared: *"The Strait of Hormuz will become a graveyard for any vessel serving the enemies of the Islamic Republic."*[3] Iran deployed naval mines, fast-attack craft, and anti-ship missile batteries along the strait's narrow shipping lanes.

Tanker Traffic Collapse

Within 48 hours, commercial tanker traffic through the Strait of Hormuz plunged by **86%**.[4] An estimated **150 vessels** became stranded, at least **five tankers sustained damage**, and **two seafarers were killed**.[5] The strait normally handles roughly **20 million bpd** of crude oil and 20% of global LNG shipments.[6]

Insurance Collapse

All **twelve P&I Clubs** in the International Group have cancelled or suspended war-risk cover for the Persian Gulf and Gulf of Oman.[7] War-risk insurance premiums surged by **400%**, with many underwriters refusing to quote at any price. Without valid insurance, vessels cannot legally enter most ports, effectively making the strait commercially impassable.

LNG Crisis and European Gas Spike

QatarEnergy declared **force majeure** on all LNG shipments transiting the strait.[8] European gas (TTF) prices surged **70%** to €61.77/MWh.[9]

Bypass Pipelines: Limited Relief

The UAE's **ADCOP pipeline** (1.5M bpd to Fujairah) and Saudi Arabia's **East-West Pipeline** (~7M bpd to Yanbu) can carry only about **8.5M bpd combined — roughly 15% of normal Hormuz flow**. Moreover, the Saudi pipeline discharges into the Red Sea, itself under Houthi threat.[10]

Metric	Value	Impact
Daily Oil Flow	**20M bpd**	~20% of global supply
Traffic Decline	**–86%**	Within 48 hours of strikes
Vessels Stranded	**~150**	VLCCs, LNG, container ships
Tankers Damaged	**5**	Mine fragments / near-misses
Seafarer Deaths	**2**	Confirmed fatalities
Insurance Premiums	**+400%**	12 P&I Clubs suspended cover
Brent Crude	**$84/bbl**	+15% from pre-strike levels
LNG Global Share	**~20%**	QatarEnergy force majeure

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SECTION 2

Red Sea & Suez Canal

The Suez Canal — at its weakest throughput since 2013.

Houthi Campaign: From Nuisance to Blockade

Since November 2023, Yemen's Houthi militants have launched over **520 attacks** against commercial shipping in the Red Sea, targeting **176 ships** and **sinking four vessels**.[1] A ceasefire held from May to October 2025, but attacks **resumed on February 28, 2026** — the same day as Operation Epic Fury.[2]

Suez Canal Traffic Collapse

Suez Canal traffic has declined from **2,068 ships/month to just 877** — over 57% down. Major carriers including Maersk, MSC, and CMA CGM have stated they are **"unlikely to return to Red Sea routing in 2026."**[3]

Egypt's Revenue Catastrophe

Suez revenue crashed from a record **$10.25 billion (FY2023)** to **$3.99 billion (FY2024)** — a decline of **61%**.[4] With traffic unlikely to recover in 2026, fiscal pressure on Cairo is intensifying.

Cape Rerouting at Scale

Over **2,000 ships** have been rerouted around the Cape of Good Hope, each adding **10–14 days** and approximately **$1 million in additional fuel costs**.[5]

Metric	Pre-Crisis	Current	Change
Monthly Transits	2,068	877	**–57%**
Annual Revenue	$10.25B	$3.99B	**–61%**

Houthi Attacks	0	520+ since Nov 2023	**176 ships hit**
Ships via Cape	—	2,000+	**+10–14 days**

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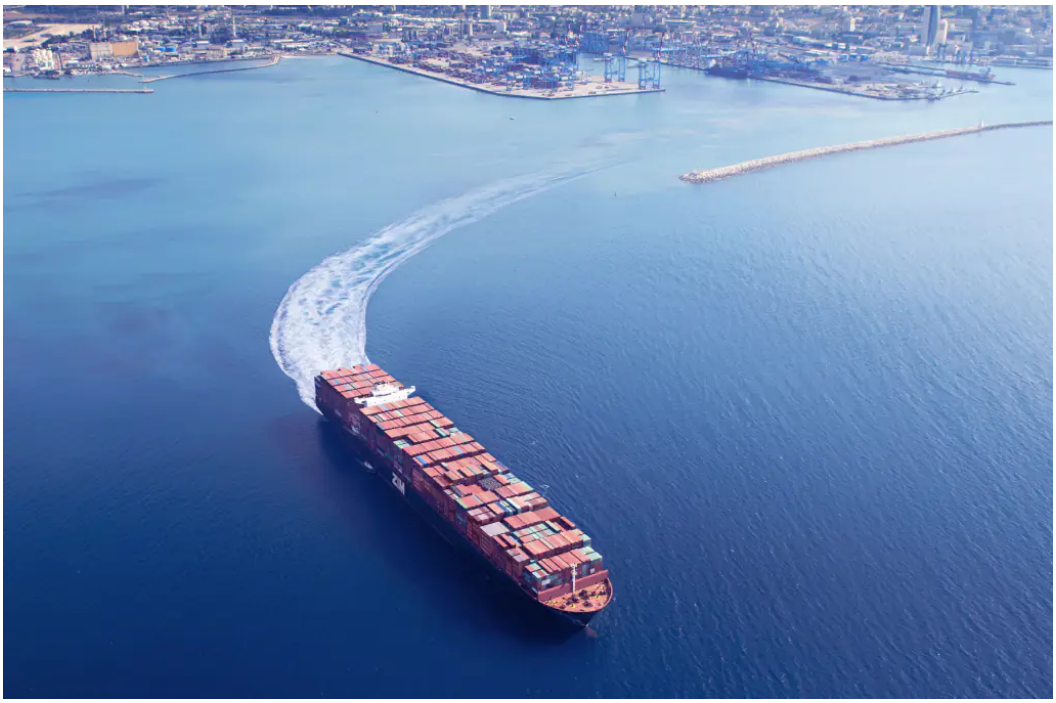
SECTION 3

Strait of Malacca



The Strait of Malacca — the world's busiest waterway.

The Strait of Malacca recorded a **record 102,000+ transits in 2025** — approximately one vessel every 5.6 minutes at its narrowest point. It handles **23.7% of global seaborne trade** and **24 million bpd** of oil.[1,2]

China's "Malacca Dilemma"

Approximately **80% of China's oil imports** transit through this single waterway. Chinese strategists refer to this dependency as the **"Malacca Dilemma,"** driving investment in bypass alternatives and overland corridors.[3]

Bypass Projects

Project	Cost	Status
Thailand Kra Land Bridge	$28–30B	Feasibility stage; politically sensitive
China-Pakistan Economic Corridor (CPEC)	$62B+	Operational but underutilised; security concerns
China-Myanmar Economic Corridor (CMEC)	~$20B	Pipeline operational; port development slow

None of these bypass projects can meaningfully reduce Malacca dependency in the near term. The strait remains indispensable but its congestion makes it a potential single point of failure for Asian economies.[4]

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SECTION 4

Panama Canal

The Panama Canal — recovering from drought, now facing geopolitical headwinds.

Drought Crisis and Recovery

The Panama Canal's worst operational crisis came in 2023–24 when extreme drought slashed daily transits from **36–38 to just 18 per day**. In FY2025, the canal recorded **13,404 transits (+19.3%)** and revenues of **$5.7 billion**.[1,2]

Infrastructure Investment

The ACP has approved the **Rio Indio Reservoir ($1.5–1.6B)** and a broader **$8B+ 10-year capital plan** to climate-proof operations.[3]

CK Hutchison Port Deal

The proposed sale of two strategic ports by **CK Hutchison Holdings to a BlackRock-led consortium** remains in legal limbo amid sovereignty concerns and US-China tensions over critical maritime infrastructure.[4]

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SECTION 5

Cape of Good Hope — The New Default

The Cape of Good Hope — once made obsolete by the Suez Canal, now re-emerging as the backbone of global trade.

Historical Context

Vasco da Gama's voyage around the Cape in **1498** opened the sea route from Europe to Asia. For **370 years**, virtually all east–west maritime trade passed around Africa's southern tip. The **Suez Canal (1869)** rendered the Cape route largely obsolete. Now, in a remarkable historical reversal, the Cape is reclaiming its role — not by choice, but by necessity.[1]

Traffic Surge: The Data

Even before the February 2026 escalation, the Cape experienced an enormous traffic surge:[2]

- Cape container transits increased by **191%** in early 2024 vs pre-crisis levels
- Oil flows around the Cape rose by **47–56%**
- Daily ship passages increased from approximately **40 to 85 vessels per day**
- Cape's share of east–west container traffic surged from ~10% to over 35%

THE DOUBLE DISRUPTION (2026): For the first time in modern history, both the Strait of Hormuz AND the Red Sea/Suez Canal are simultaneously closed to commercial traffic. The Cape of Good Hope is now absorbing virtually all east–west maritime trade.

Strategic Advantages

Advantage	Detail
No Chokepoint Risk	Open ocean — no narrow strait, canal lock, or bottleneck

No Transit Fees	Zero tolls vs. $500K–$1M per Suez transit
No Political Risk	Not controlled by any single country
No Vessel Restrictions	Unlimited draft and beam — any vessel class can transit
Natural Bunkering Position	SA ports sit at the midpoint between East and West

SECTION 5 (CONTINUED)

South Africa's Opportunity

South African port infrastructure — at the crossroads of a once-in-a-generation maritime shift.

Key Ports

Port	Role	Capacity / Notes
Durban	Largest container port in sub-Saharan Africa	~2.7M TEU/year; handles ~60% of SA container trade
Cape Town	Closest major port to Cape shipping lanes	Growing cruise and container hub; bunkering expansion
Richards Bay	Largest bulk port; coal and mineral exports	91M tons/year capacity; deepwater access
Saldanha Bay	Iron ore exports; deepwater natural harbour	Deepest natural port in Southern Hemisphere; VLCC capable

Transnet's Turnaround

Transnet has shown notable operational improvement: vessels at anchorage down **94%**, crane productivity up **12–25%**.[3] However, the **World Bank's 2023 Container Port Performance Index** ranked Durban **dead last — 403rd out of 403 ports globally**.[4]

Investment Plans

Transnet's **ZAR 127 billion ($7.3B) five-year plan** includes:[5]

- Durban container terminal expansion and automation
- Ngqura transhipment hub development
- Private terminal operator concessions (Durban Point, Richards Bay)
- Rail corridor upgrades to reduce port dwell times
- **Green hydrogen and ammonia bunkering** infrastructure targeted for **2029**

The Singapore Comparison

Singapore handles **37 million TEU** annually and has built an entire economy around its Malacca position. South Africa's ports handle roughly **4.5 million TEU**. The opportunity is clear; the question is whether South Africa can execute at the speed required.[6]

SECTION 5 (CONTINUED)

Cape Route Challenges

Additional Transit Time and Cost

Rerouting via the Cape adds **10–14 days** per voyage and roughly **$1 million in extra fuel costs**. At scale, Cape rerouting adds an estimated **$15–20 billion annually** to global shipping costs.[7]

Weather and Safety

In 2024, **576 containers were lost at sea globally**, with approximately **200 lost near the Cape of Good Hope**. Southern Ocean storms, rogue waves, and the Agulhas Current pose constant risks.[8]

Piracy

Increased traffic has been accompanied by a **resurgence of piracy** off the East African coast, with rising incidents in the Mozambique Channel.[9]

Port Congestion

Cape Town has experienced **6–10+ day delays** at anchorage, with bunkering capacity strained beyond design limits.[10]

Challenge	Impact	Severity
Extra transit time	+10–14 days per voyage	**HIGH**
Additional fuel cost	+~$1M per voyage	**HIGH**
Southern Ocean storms	576 containers lost (200 near Cape)	**HIGH**
Piracy resurgence	Rising incidents off East Africa	**MEDIUM**
Port congestion	Cape Town: 6–10+ day delays	**HIGH**
Port efficiency	Durban ranked 403rd/403 globally	**CRITICAL**

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SECTION 6

Emerging Routes & Alternatives

Arctic / Northern Sea Route

The Northern Sea Route recorded **103 transits in 2025**. China's **"Ice Silk Road"** ambitions drove a container vessel to complete **Ningbo-to-Felixstowe in just 18 days**.[1] However, the NSR remains seasonal, lacks infrastructure, and carries significant environmental and insurance risks.

Asia–Africa Trade Corridor

Africa–Asia bilateral trade reached approximately **$400 billion** in 2024, with container capacity up **27.3%**.[2] This growth is synergistic with the Cape route.

Middle Corridor (Central Asia)

The Trans-Caspian "Middle Corridor" has seen **62% growth** in freight volumes since 2022,[3] but its total capacity remains a fraction of maritime volumes.

Nicaragua Canal

The proposed **Nicaragua Canal ($64.5B)** has effectively collapsed as a viable project. No credible construction timeline exists.[4]

BOTTOM LINE: None of these emerging routes pose a near-term threat to the Cape's dominance. The Arctic is seasonal, overland corridors lack capacity, and canal proposals are decades away.

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SECTION 7

Economic Impact

The simultaneous closure of the Strait of Hormuz and Red Sea/Suez Canal has sent shockwaves through global commodity and financial markets.

Indicator	Pre-Crisis	Current	Change
Brent Crude Oil	$73/bbl	**$84/bbl**	**+15%**
European Gas (TTF)	~€36/MWh	**€61.77/MWh**	**+70%**
SCFI (Container Freight)	~1,050 pts	**1,333 pts**	**+27%**
Shanghai–Gulf Freight	Baseline	**Elevated**	**+35%**
War Risk Insurance	~0.05% hull	**Unavailable**	**+400%**
Aluminium	Baseline	**Elevated**	**+3.5%**
Diesel / Gasoil	Baseline	**Elevated**	**+18–20%**
Cape Rerouting Cost	—	**$15–20B/yr**	New structural cost

Oil Markets

Brent crude jumped from **$73 to $84/bbl** (+15–17%). Analysts warn a prolonged closure could push oil to **$120–$150/bbl**. Global spare capacity outside the Gulf is limited to ~3–4M bpd — insufficient to offset a full 20M bpd Hormuz loss.[1]

European Natural Gas

TTF surged **70% to €61.77/MWh**, driven by loss of Qatari LNG. European storage levels face serious depletion risk if the crisis extends into the 2026–27 heating season.[2]

Container Freight

The SCFI stands at **1,333 points**, Shanghai-Gulf up **35%**. The additional **$15–20B annual cost** of Cape rerouting represents a structural shift in global shipping economics.[3]

War Risk Insurance

With premiums up **400%** and many underwriters refusing to quote, the insurance market has imposed a **commercial blockade** on the Hormuz strait beyond the military one. Hull cover is largely unavailable.[4]

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CONCLUSION

The global sea trade route landscape has **fundamentally shifted**. The simultaneous closure of the Strait of Hormuz and the Red Sea/Suez Canal corridor marks the **most severe maritime disruption in modern history** — surpassing the 1956 Suez Crisis, the 1967 canal closure, and the 2021 Ever Given blockage in both scale and duration.

Two of the world's three critical east–west chokepoints are now functionally closed. The **Strait of Hormuz**, through which 20% of global oil and LNG transits, has been rendered commercially impassable. The **Red Sea**, already degraded by two years of Houthi attacks, has seen its last remaining traffic evaporate.

The **Cape of Good Hope** — free from the political, physical, and financial constraints of canals and straits — is emerging as the **backbone of global trade**. Its advantages are structural: no chokepoint risk, no transit fees, no vessel size restrictions, and no single-country control.

For **South Africa**, this represents a **once-in-a-generation opportunity** to position itself as a global maritime hub. The country's ports sit at the natural midpoint of the world's dominant trade route. The potential extends beyond logistics to green hydrogen, ship repair, financial services, and a broader maritime economy.

But the **window is closing**. Port inefficiency — epitomised by Durban's last-place global ranking — infrastructure gaps, and competition mean South Africa must act **decisively and at speed**. The ZAR 127 billion investment plan is a start, but execution is everything.

The sea trade route race is on. The question is no longer whether the Cape of Good Hope matters — it does, more than at any time since 1869. The question is whether South Africa can seize the moment.

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MARCH 2026

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